



DepEd-DBM Consultation Meeting

ECP Reclassification: Funding Gaps and Strategies

JULY 9, 2026

RECAP OF PREVIOUS TECHNICAL MEETING:

DepEd-DBM Consultation Meeting | May 5, 2026

AGENDA	AGREEMENTS/RECOMMENDATIONS
Reclassification Budget Deficit: <i>FY 2025 Unfunded Recurring Cost (Pertaining to the payment of salary differentials of personnel appointed and issued NOSCA from May to December 2025)</i> <i>FY 2026 Expenses (Pertaining to Salary Differential Payment for those appointed and with issued NOSCA from January 2026 onwards)</i>	- DepEd to re-compute and validate the budget deficit data and fiscal impact - DepEd shall explore the possible utilization of the available FY 2026 New School Personnel Positions(NSPP) – Lumpsum appropriations for the filling-up of teaching positions to cover the identified deficit.
Remaining Reclassification Applications: <i>Under DBM's Processing and Approval</i> <i>Remaining Applications in the CAREER</i>	- All remaining applications currently under DBM processing and approval shall be returned to the DepEd Regional Offices (ROs) pending the availability of funds. - All remaining applications in the CAREER shall be submitted next year and charged against FY 2027 budget.
Timeline for the submission of reclassification applications to DBM	DepEd to study the most appropriate timeline to avoid annual recurring deficits

MEETING AGENDA:

- 1** Presentation of Updated Reclassification Funding Gaps and Requirements by region
- 2** Discussion of Funding Sources and Strategies
- 3** Implementation Directions and Priority Actions for Field Offices
- 4** Other Matters
 - Special Hardship Allowance (SHA)

PROPOSED FUNDING STRATEGIES AND DIRECTIONS

CONCERN	PROJECTED COST	PROPOSED FUND SOURCE	POLICY DIRECTIONS
Reclassification Budget Deficit	8,678,595,543.27	NSPP Filling up unreleased appropriation from regions with below 10% filling up rate as of April 2026	Regions with identified funding deficits (<i>CAR, I, II, IV-B, V, VI, VII, IX, X, XI, and XII</i>) - These regions shall be advised to temporarily hold the submission of all ongoing reclassification applications to the DBM, except for retitling, which do not involve changes in salary grades or compensation. - These regions may still be allowed to evaluate reclass applications but up to DepEd RO level only (For pooling) Regions with Remaining Budget (<i>NCR, NIR, III, IV-A, VIII, and CARAGA</i>): - Regions with remaining reclassification funds shall continue processing and submitting applications to the DBM until their FY 2026 allocations are fully utilized. - PS salary differential of all applications with issued NOSCA and appointment from May 2026 to December 2026 shall be charged against FY 2027 Reclass Budget.
Remaining Reclassification Applications	- Under DBM's Processing and Approval: 2,534,887,665.74 - Remaining Applications in the CAREER: 7,077,077,966.66 TOTAL: 9,602,705,617.26	FY 2027 Reclassification Budget under ECP	These applications shall be prioritized in the next budget cycle (FY 2027) and shall not be required to re-undergo or repeat assessment.

Updated FY 2026 Reclassification Funding Gaps and Requirements by Region

Region	FY 2026 Reclassification Budget	Chargeable Against FY 2026 Budget		Fiscal Impact	
		FY 2025 Unfunded Recurring Cost (Pertaining to the payment of salary differentials of personnel appointed and issued NOSCA from May to December 2025)	FY 2026 Expenses (Pertaining to Salary Differential Payment for those appointed and with issued NOSCA from January 2026 onwards)	Total Chargeable	Deficit (Total Chargeable Less FY 2026 Redass Budget)
CAR	137,836,658.00	1,189,087,476.42	2,757,648.00	1,191,845,124.42	1,054,008,466.42
NCR	499,611,962.00				<i>*With Certification of no Deficits</i>
NIR	303,340,364.00				<i>*With Certification of no Deficits</i>
Region I	355,304,277.00	806,300,995.47	1,256,689,087.08	2,062,990,082.55	1,707,685,805.55
Region II	261,171,874.00	138,110,901.73	347,773,547.70	485,884,449.43	224,712,575.43
Region III	635,165,477.00				<i>*With Certification of no Deficits</i>
Region IVA	725,931,825.00				<i>*With Certification of no Deficits</i>
Region IVB	243,271,054.00	965,000,602.45	98,336,355.58	1,063,336,958.03	820,065,904.03
Region IX	303,186,364.00	217,563,479.19	254,403,216.05	471,966,695.25	168,780,331.25
Region V	477,703,549.00	567,652,697.00	730,360,990.00	1,298,013,687.00	820,310,138.00
Region VI	308,657,495.00	94,695,075.69	2,415,964,877.85	2,510,659,953.54	2,202,002,458.54
Region VII	392,518,233.00	233,250,330.80	797,313,320.99	865,618,423.08	633,256,216.86
Region VIII	394,325,256.00				<i>*With Certification of no Deficits</i>
Region X	303,670,924.00	694,649,542.58	290,911,128.94	985,560,671.52	681,889,747.52
Region XI	317,180,863.00	463,534,532.61	211,481,839.43	675,016,372.05	357,835,509.05
Region XII	275,174,564.00	271,895,722.90	11,327,231.73	283,222,954.63	8,048,390.63
Region XIII	214,382,261.00				<i>*With Certification of no Deficits</i>
TOTAL:	6,148,433,000.00	5,641,741,356.85	6,412,530,041.42	12,054,271,398.27	8,678,595,543.27

Source: Reclassification Data Report from Regional and Division HRMOs as of July 7 2026

PROPOSED FUNDING STRATEGY:

Concern: Reclassification Budget Deficit:

- FY 2025 Unfunded Recurring Cost (Pertaining to the payment of salary differentials of personnel appointed and issued NOSCA from May to December 2025)
- FY 2026 Expenses (Pertaining to Salary Differential Payment for those appointed and with issued NOSCA from January 2026 onwards)

Projected

Costs: 8,678,595,543.27

Fund Source:

- NSPP Filling up unreleased appropriation from regions with **below 10% filling up rate** as of April 2026
- **Should the NSPP filling up be insufficient, can additional funding be sourced from the MPBF?*

Region	Filling up Rate	Unreleased Appropriation	Proposed Amount Chargeable Against Unreleased Appropriations	Balance from Unreleased Appropriation
*Regions with less than 10% filling up rate as of April 2026				
CAR	14.5 %	263,295,690.00	-	263,295,690.00
NCR*	-3.9 %	3,492,708,933.00	2,223,216,295.27	1,269,492,637.73
NIR*	-1.2 %	1,690,085,165.00	523,216,295.27	1,166,868,869.73
Region I	11.8 %	1,587,473,000.00		1,587,473,000.00
Region II	10.5 %	763,571,845.00		763,571,845.00
Region III	13.4 %	1,368,439,492.00		1,368,439,492.00
Region IVA*	7.4 %	3,269,042,000.00	2,023,216,295.27	1,245,825,704.73
Region IVB*	-0.1 %	1,296,308,964.00	423,216,295.27	873,092,668.73
Region IX*	0.1 %	881,749,786.00	223,216,295.27	658,533,490.73
Region V*	3.0 %	1,094,008,837.00	423,216,295.27	670,792,541.73
Region VI	22.5 %	1,496,360,365.00		1,496,360,365.00
Region VII*	3.0 %	1,352,483,431.00	723,216,295.27	629,267,135.73
Region VIII*	-4.7 %	1,069,378,877.00	223,216,295.27	846,162,581.73
Region X*	1.7 %	1,698,776,000.00	523,216,295.27	1,175,559,704.73
Region XI*	3.8 %	1,737,526,000.00	623,216,295.27	1,114,309,704.73
Region XII*	4.3 %	1,318,607,923.00	523,216,295.27	795,391,627.73
Region XIII*	6.2 %	492,640,679.00	223,216,295.27	269,424,383.73
TOTAL:	5.3%	24,872,456,987.00	8,678,595,543.27	16,193,861,443.73

Source: Status of FY 2026 New School Personnel Positions as of June 30, 2026

Pending Reclassification Applications

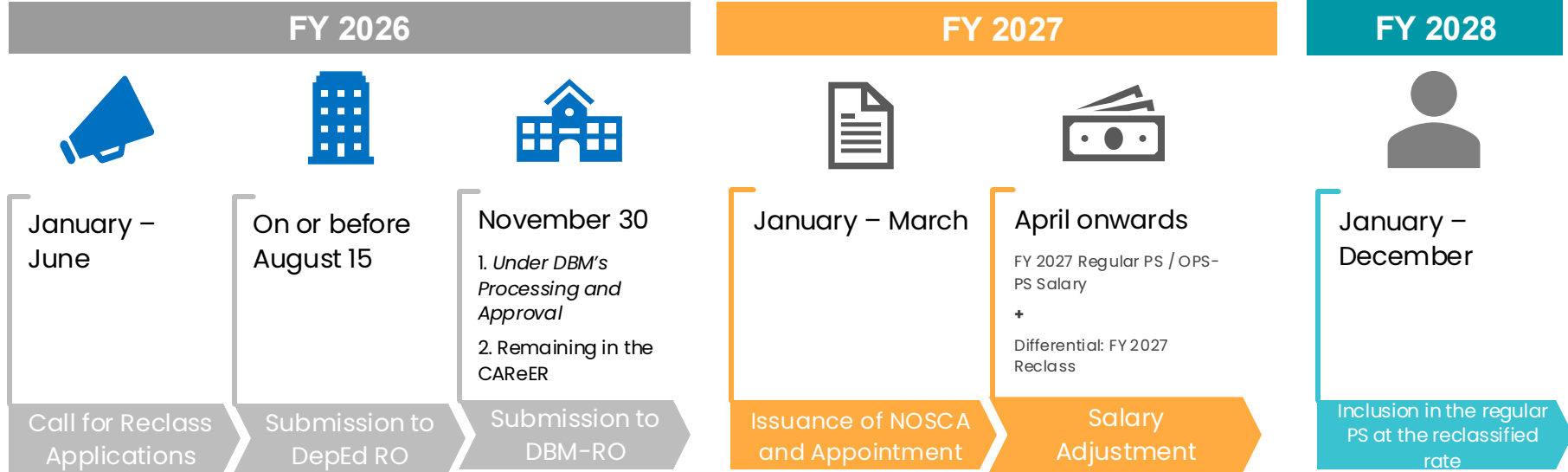
Region	Under DBM's Processing and Approval		Remaining in the CAREER		TOTAL		Proposed Funding Source
	Physical	Financial	Physical	Financial	Physical	Financial	
CAR	15	3,546,332.18	856	79,866,884.90	871	83,413,217.08	FY 2027 Reclassification Budget under ECP
NCR	31	1,093,961.48	1120	75,710,895.30	1,151	76,804,856.78	
NIR	6,965	624,533,671.76	155	14,540,391.64	7,120	639,074,063.40	
Region I	792	74,569,178.66	5100	510,491,563.70	5,892	585,060,742.36	
Region II	10	387,172.52	4927	494,651,063.80	4,937	495,038,236.32	
Region III	14,902	1,503,725,889.58	19721	2,015,700,932.54	34,623	3,519,426,822.12	
Region IVA	331	15,599,536.24	15778	1,420,711,492.62	16,109	1,436,311,028.86	
Region IVB	17	458,758.04	26	2,350,831.96	43	2,809,590.00	
Region IX	35	1,235,117.80	3	333,325.98	38	1,568,443.78	
Region V	479	31,527,078.34	1806	180,789,592.78	2,285	212,316,671.12	
Region VI	581	51,791,195.06	441	41,697,967.28	1,022	93,489,162.34	
Region VII	19	670,492.52	3317	295,415,906.68	3,336	296,086,399.20	
Region VIII	1,168	89,609,866.20	12033	1,034,848,005.46	13,201	1,124,457,871.66	
Region X	31	1,093,961.48	4991	481,613,810.68	5,022	482,707,772.16	
Region XI	504	40,460,299.60	3610	347,852,788.02	4,114	388,313,087.62	
Region XII	3	105,867.24	0	0.00	3	105,867.24	
Region XIII	93	6,911,969.16	1678	158,809,816.06	1,771	165,721,785.22	
TOTAL:	25,976	2,447,320,347.86	75562	7,155,385,269.40	101,538	9,602,705,617.26	

Source: Reclassification Data Report from Regional and Division HRMOs as of July 7, 2026

FY 2027 RECLASSIFICATION PROJECTION

FY 2026 BACKLOGS (Chargeable Against FY 2027 Budget)							FY 2027 FISCAL IMPACT PROJECTION			
Region	Under DBM's Processing and Approval		Remaining in the CAREER		TOTAL BACKLOGS		FY 2027 Tier 1	Deficit (Total Backlogs - Tier 1)	FY 2027 Tier 2	Remaining/ Deficit (Deficit - Tier 2)
	Physical	Financial	Physical	Financial	Physical	Financial				
CAR	15	3,546,332.18	856	79,866,884.90	871	83,413,217.08	79,866,885	3,546,332.08	131,046,226	127,499,894
NCR	31	1,093,961.48	1120	75,710,895.30	1,151	76,804,856.78	3,113,703	73,691,153.78	468,296,218	394,605,064
NIR	6,965	624,533,671.76	155	14,540,391.64	7,120	639,074,063.40	14,540,392	624,533,671.40	281,109,172	-343,424,499
Region I	792	74,569,178.66	5100	510,491,563.70	5,892	585,060,742.36	510,491,564	74,569,178.36	343,901,757	269,332,579
Region II	10	387,172.52	4927	494,651,063.80	4,937	495,038,236.32	489,407,173	5,631,063.32	253,852,297	248,221,234
Region III	14,902	1,503,725,889.58	19721	2,015,700,932.54	34,623	3,519,426,822.12	1,665,653,622	1,853,773,200.12	606,097,621	-1,247,675,579
Region IVA	331	15,599,536.24	15778	1,420,711,492.62	16,109	1,436,311,028.86	1,069,230,768	367,080,260.86	698,963,223	331,882,962
Region IVB	17	458,758.04	26	2,350,831.96	43	2,809,590.00	2,350,832	458,758.00	238,952,625	238,493,867
Region IX	35	1,235,117.80	3	333,325.98	38	1,568,443.78	333,326	1,235,117.78	322,618,890	321,383,772
Region V	479	31,527,078.34	1806	180,789,592.78	2,285	212,316,671.12	180,789,593	31,527,078.12	461,932,934	430,405,856
Region VI	581	51,791,195.06	441	41,697,967.28	1,022	93,489,162.34	41,697,967	51,791,195.34	302,167,455	250,376,260
Region VII	19	670,492.52	3317	295,415,906.68	3,336	296,086,399.20	295,415,907	670,492.20	380,020,202	379,349,710
Region VIII	1,168	89,609,866.20	12033	1,034,848,005.46	13,201	1,124,457,871.66	807,189,512	317,268,359.66	383,565,610	66,297,250
Region X	31	1,093,961.48	4991	481,613,810.68	5,022	482,707,772.16	481,683,381	1,024,391.16	292,251,518	291,227,127
Region XI	504	40,460,299.60	3610	347,852,788.02	4,114	388,313,087.62	347,811,250	40,501,837.62	304,503,527	264,001,689
Region XII	3	105,867.24	0	0.00	3	105,867.24	47,309	58,558.24	263,870,369	263,811,811
Region XIII	93	6,911,969.16	1678	158,809,816.06	1,771	165,721,785.22	158,809,816	6,911,969.22	208,369,525	201,457,556
TOTAL:	25,976	2,447,320,347.86	75562	7,155,385,269.40	101,538	9,602,705,617.26	6,148,433,000	3,454,272,617.26	5,941,519,169	

Proposed Implementation Timeline Moving Forward



WAYS FORWARD:

ACTION	PROPOSED TIMELINE
DepEd shall submit a Special Budget Request (SBR) to the DBM to pool the unreleased appropriations under the NSPP filling-up amounting to 8,678,595,543.27 and centralize the corresponding funds at the DepEd-CO for efficient allocation and utilization.	• July 13, 2026
HROD and Finance Service shall jointly issue a strand Memorandum to disseminate implementation directions and provide guidance on financial and HR actions.	• July 16, 2026
HROD and Finance Service shall hold an orientation with HRMOs, Budget Officers, and other concerned personnel involved in the processing of reclassification of position under ECP.	• July 20, 2026